CONFIDENTIAL INFORMATION MEMORANDUM

Acme Cloud Solutions, Inc.

Industry: B2B SaaS — Enterprise Resource Planning

Headquarters: Austin, TX

Founded: 2014 **|** Employees: 320

Prepared for Qualified Institutional Buyers

1. Executive Summary

Acme Cloud Solutions is a high-growth B2B SaaS company providing cloud-based ERP solutions to mid-market manufacturing and distribution companies. The Company has achieved $42M ARR with 118% net revenue retention, serving over 450 enterprise customers across North America. Acme's platform integrates supply chain management, financial planning, and workforce optimization into a single unified interface.

2. Investment Highlights

- Strong unit economics with LTV/CAC ratio of 5.2x
- 118% net dollar retention driven by platform expansion
- 85% gross margins with improving operating leverage
- Large addressable market ($18B TAM for mid-market ERP)
- Experienced management team with prior exits
- Minimal customer concentration — top 10 customers represent 22% of ARR

3. Financial Summary

Metric	FY2022	FY2023	FY2024	FY2025E
Revenue ($M)	24.1	31.5	42.0	54.6
YoY Growth (%)	38%	31%	33%	30%
Gross Profit ($M)	19.7	26.2	35.7	46.9
Gross Margin (%)	82%	83%	85%	86%
EBITDA ($M)	-2.1	1.8	5.9	10.9
EBITDA Margin (%)	-9%	6%	14%	20%
Free Cash Flow ($M)	-4.2	-0.5	3.2	7.8
ARR ($M)	26.3	34.0	42.0	54.6
Net Revenue Retention	112%	115%	118%	120%
Customers	310	370	450	540
CAC Payback (months)	18	16	14	13

4. Customer Segmentation

Segment	Customers	ARR ($M)	% of Total	Avg Contract ($K)	NRR
Enterprise (>$200K)	42	16.8	40%	400	125%
Mid-Market ($50-200K)	158	15.8	38%	100	118%
SMB (<$50K)	250	9.4	22%	38	108%

5. Key Risks

- Competition from Tier-1 ERP vendors (SAP, Oracle) moving downmarket
- Dependency on AWS infrastructure (82% of hosting costs)
- Sales cycle averaging 4-6 months for enterprise deals
- Key person risk: CTO holds critical architectural knowledge

6. Change of Control Provisions

Section 8.4 — Change of Control Provision: In the event of a Change of Control (defined as the acquisition of more than 50% of voting securities or substantially all assets), each customer shall have the right to terminate their subscription agreement within 90 days of written notice. Approximately 35% of ARR ($14.7M) is subject to contracts containing change of control termination provisions. Management estimates actual termination risk at less than 5% based on historical precedent.